Punchlist
Real Estate, LLC

PUNCHLIST CAPITAL · DEVELOPMENT SUMMARY

# Harbor Point Residences

Stamford, CT · Multifamily · 120 units · 132,000 SF

DEVELOPMENT | 24-MONTH CONSTRUCTION | STABILISED MONTH 43 | BASE CASE | CLOSING 1/1/2027

CREDIT GATE
**APPROVE**

| LEVERED IRR | EQUITY MULTIPLE | TOTAL PROJECT COST | EQUITY REQUIREMENT |
|---|---|---|---|
| **32.30%** | **2.86x** | **$48.00M** | **$15.15M** |
| hurdle 12.00% | $28.18M profit | $399,997 per unit | $27.30M construction loan |

## DASHBOARD

| LEVERED IRR | EQUITY MULTIPLE | NET LP IRR | YIELD ON COST |
|---|---|---|---|
| **32.30%** | **2.86x** | **26.25%** | **8.91%** |
| Base case | $28.18M profit | after promote | stabilised NOI $3.56M |

| DEVELOPMENT SPREAD | PROJECT COST | STABILISED VALUE | CONSTRUCTION LOAN |
|---|---|---|---|
| **251 bps** | **$48.00M** | **$72.08M** | **$27.30M** |
| over exit cap · policy 150 | $39.95M before financing | at 5.00% exit cap | 68.00% of cost · 7.25% |

### Summary of investment

**Harbor Point Residences** is a 120-unit multifamily ground-up development in Stamford, CT of about 132,000 SF. The plan is to buy the site for $7.00M, build over 24 months, lease up over 17 months to stabilisation in month 43, and sell in month 48. Total cost is $48.00M ($399,997 a unit), funded by $15.15M of equity (32.00%) and a $32.85M construction loan at 7.25% (68.00% of cost). There is no permanent takeout: the $32.85M construction loan stays outstanding after stabilisation and is repaid from the sale proceeds at month 48.

In the Base case the deal returns **32.30%** levered and **2.86x** ($28.18M of profit on $15.15M of equity), and 22.32% before financing: **20.3 points above** the 12.00% hurdle. The return rests on a 8.91% stabilised yield on cost against a 5.00% exit cap (391 bps of development spread), and 92.00% of what equity gets back arrives at the sale. It stays above the hurdle if the exit cap widens by up to 200 bps, or rents fall 22.00%, or hard costs overrun by 56.00%, one at a time.

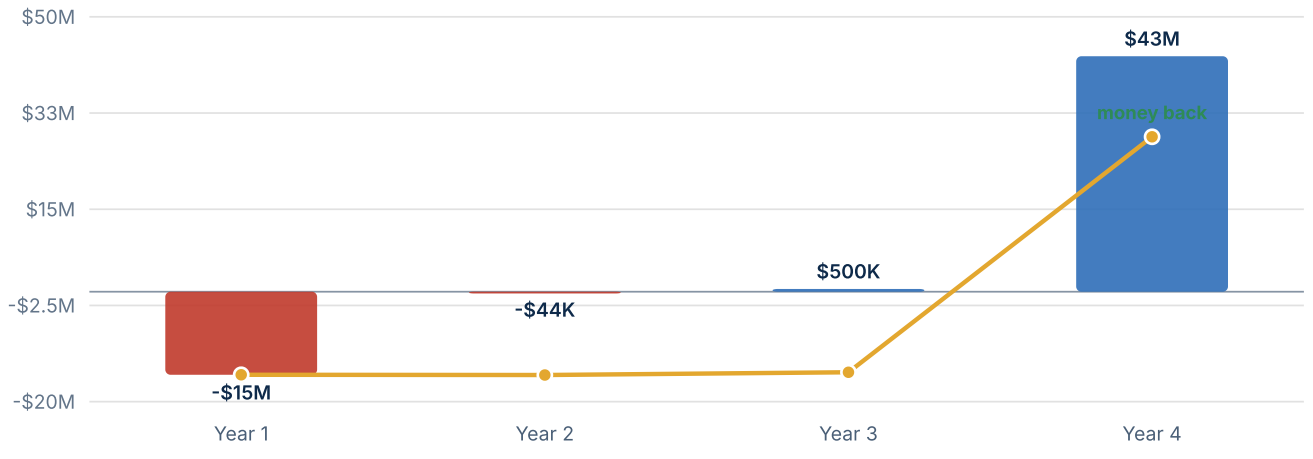
Model checks: 0 failed, 0 warnings, 27 passed, 0 not applicable. Credit gate: **APPROVE**. These are projections from the assumptions entered, not guarantees; see the pages that follow for the basis of each figure.

### Levered return against the hurdle




### Equity cash flow

Each year's cash to equity; the line is the running total. Equity is funded through construction and lease-up, then returned from operations, the takeout and the sale.



## RETURNS AND WHAT THEY REST ON

### PROPERTY

| | |
|---|---|
| Total development cost (before financing) | $39,950,000 · $332,917 per unit · $303 per GSF |
| All-in cost (with fees and interest) | $47,999,586 |
| Stabilised NOI (after reserves) | $3,558,877 |
| Yield on cost | 8.91% |
| Development spread over exit cap | 391 bps |
| Gross / net sale value | $72.25M / $70.80M |
| Unlevered profit | $34,229,818 |
| Unlevered IRR / multiple | 22.32% / 1.86x |

### EQUITY, LP AND GP

| | |
|---|---|
| Equity requirement (peak contributed) | $15,153,868 |
| Total contributions / distributions | $15,153,868 / $43,334,100 |
| Levered profit | $28,180,232 |
| Levered IRR / multiple | 32.30% / 2.86x |
| Equity beyond the planned amount | $0 |
| LP: contributed · IRR · multiple | $13,638,481 · 26.25% · 2.39x |
| GP: contributed · IRR · multiple | $1,515,387 · 67.46% · 7.06x |
| GP promote | $6,366,230 |

Contributions and distributions are gross: equity called, and any month's cash shortfall the partners fund, are contributions; the surplus is a distribution. The multiple is total distributions over total contributions. IRRs are XIRR on actual dated cash flows. Equity payback is month 48 of 48.

The deal clears its 12.00% hurdle by **20.3 points** at 32.30% levered (22.30% unlevered): leverage adds about 10.0 points, at the cost of $5,595,718 of capitalised interest.

The return is mostly a sale return: $37.95M comes back at exit after repaying $32.85M of debt. The stabilised yield on cost of 8.91% against a 5.00% exit cap is the whole development spread: each 25 bps of exit cap moves the sale value by about $3.44M.

## BUDGET AND FUNDING

| SOURCES | AMOUNT | % |
|---|---|---|
| Construction loan - draws | $27,250,000 | 56.77% |
| Construction loan - interest capitalised | $5,595,718 | 11.66% |
| Equity | $15,153,868 | 31.57% |
| **Total sources** | **$47,999,586** | **100.00%** |

Equity requirement includes any overflow beyond planned equity. Returns are measured on cash actually contributed, net of lease-up income ($15.15M).

| USES | AMOUNT | % |
|---|---|---|
| Land | $7,000,000 | 14.58% |
| Closing costs | $250,000 | 0.52% |
| Pre-development | $750,000 | 1.56% |
| Hard costs | $24,950,000 | 51.98% |
| Contingency (forecast usage) | $2,000,000 | 4.17% |
| Soft costs | $5,000,000 | 10.42% |
| Initial reserves funded | $2,000,000 | 4.17% |
| Unused-commitment fees | $180,868 | 0.38% |
| Capitalised interest | $5,595,718 | 11.66% |
| Loan fees | $273,000 | 0.57% |
| **Total project cost** | **$47,999,586** | **100.00%** |




### Development timeline

Month numbers from closing.




## DEBT AT SALE

| | |
|---|---|
| Permanent loan | None |
| Construction loan after stabilisation | Stays outstanding; interest paid currently at 7.25% |
| Repaid from sale proceeds at month 48 | $32.85M |
| Debt at sale | $32.85M |

## BUDGET CONTROL: BUDGET, CONTINGENCY AND RESERVES

| DEVELOPMENT BUDGET | AMOUNT | PER UNIT | PER GSF |
|---|---|---|---|
| Land | $7,000,000 | $58,333 | $53 |
| Acquisition and closing costs | $250,000 | $2,083 | $2 |
| Predevelopment | $750,000 | $6,250 | $6 |
| Hard costs (excluding contingency) | $24,950,000 | $207,917 | $189 |
| Contingency (forecast usage) | $2,000,000 | $16,667 | $15 |
| Soft costs | $5,000,000 | $41,667 | $38 |
| Initial reserves (held as cash) | $2,000,000 | $16,667 | $15 |
| **Total development budget** | **$41,950,000** | **$349,583** | **$318** |

Financing costs (loan fee $273,000, unused-commitment fees $180,868, capitalised interest $5,595,718) come on top: all-in cost $47,999,586.

## CONTINGENCY

| CONTINGENCY CATEGORY | ORIGINAL | CHANGE ORDERS | USED TO DATE | FORECAST | REMAINING | VARIANCE |
|---|---|---|---|---|---|---|
| Unforeseen subsurface conditions | $350,000 | $0 | $0 | $350,000 | $350,000 | $0 |
| Material price escalation | $300,000 | $0 | $0 | $300,000 | $300,000 | $0 |
| Labor cost escalation | $250,000 | $0 | $0 | $250,000 | $250,000 | $0 |
| Design development changes | $250,000 | $0 | $0 | $250,000 | $250,000 | $0 |
| Utility and infrastructure surprises | $200,000 | $0 | $0 | $200,000 | $200,000 | $0 |
| Scope gaps and coordination issues | $200,000 | $0 | $0 | $200,000 | $200,000 | $0 |
| Weather and schedule-related costs | $150,000 | $0 | $0 | $150,000 | $150,000 | $0 |
| Code and regulatory changes | $100,000 | $0 | $0 | $100,000 | $100,000 | $0 |
| Owner-directed changes | $100,000 | $0 | $0 | $100,000 | $100,000 | $0 |
| Other unforeseen conditions | $100,000 | $0 | $0 | $100,000 | $100,000 | $0 |
| **Total** | **$2,000,000** | **$0** | **$0** | **$2,000,000** | **$2,000,000** | **$0** |

Contingency is separate from hard cost and drawn with the work (on the hard-cost curve); only the forecast usage is a cost. Remaining = original less used to date; final variance = original less forecast usage (positive is unspent).

## INITIAL RESERVES

| RESERVE | PURPOSE | MONTH | FUNDED |
|---|---|---|---|
| Operating and lease-up reserve | Operating | 26 | $750,000 |
| Debt service and interest reserve | Interest | 1 | $750,000 |
| General liquidity reserve | General | 1 | $300,000 |
| Insurance and tax reserve | General | 1 | $200,000 |
| **Total funded** | | | **$2,000,000** |

| | |
|---|---|
| Used to pay operating shortfalls | $208,366 |
| Used to pay interest beyond the facility ceiling | $0 |
| Released to the project at the sale | $1,791,634 |
| Funded less used less released | $0 |

A funded reserve is cash held, not an expense. Unused reserves come back to the project at the sale and are in the distributable cash.

## CONSTRUCTION FUNDING

### Loan

| | |
|---|---|
| Commitment | $27,300,000 |
| Rate | 7.25% |
| Drawn | $27,250,000 |
| Interest capitalised | $5,595,718 |
| Balance at takeout | $32,063,793 |

### Equity

| | |
|---|---|
| Planned | $14,700,000 |
| Over plan | – |
| Total | $15,153,868 |
| Share of cost | 31.57% |

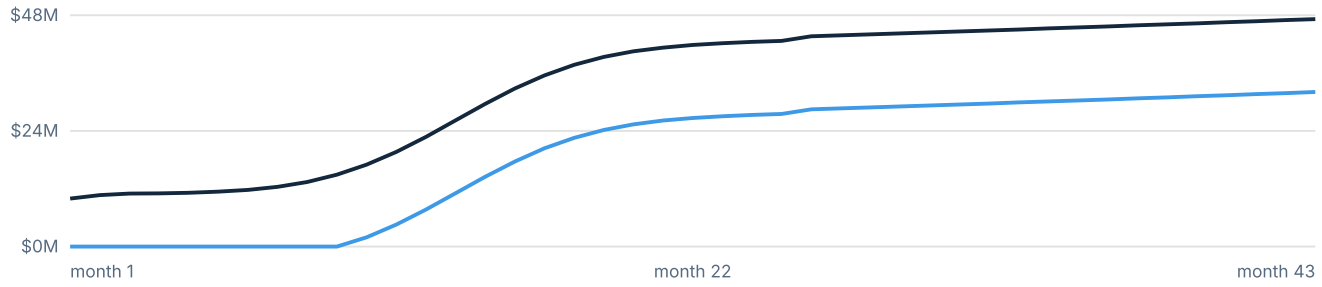
### Timeline

| | |
|---|---|
| Pre-development | 2 months |
| Construction | 24 months |
| Completion | month 26 |
| Lease-up | 17 months |
| Stabilised | month 43 |

| $ THOUSANDS | Q1 | Q2 | Q3 | Q4 | Q5 | Q6 | Q7 | Q8 | Q9 | Q10 | Q11 | Q12 | Q13 | Q14 | Q15 | TOTAL |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Phase · months | Pre-dev 1–3 | Constr. 4–6 | Constr. 7–9 | Constr. 10–12 | Constr. 13–15 | Constr. 16–18 | Constr. 19–21 | Constr. 22–24 | Constr. 25–27 | Lease 28–30 | Lease 31–33 | Lease 34–36 | Lease 37–39 | Lease 40–42 | Lease 43–43 | |
| **COSTS** | | | | | | | | | | | | | | | | |
| Land and closing | 8,000 | – | – | – | – | – | – | – | – | – | – | – | – | – | – | 8,000 |
| Hard costs | 11 | 228 | 1,562 | 5,179 | 8,360 | 6,580 | 2,523 | 470 | 38 | – | – | – | – | – | – | 24,950 |
| Soft costs and fees | 1,415 | 116 | 317 | 595 | 766 | 675 | 408 | 169 | 68 | 88 | 88 | 88 | 88 | 88 | 29 | 5,000 |
| Financing fees | 273 | – | – | – | – | – | – | – | – | – | – | – | – | – | – | 273 |
| **Total costs** | **10,984** | **396** | **2,038** | **6,222** | **9,820** | **7,795** | **3,138** | **678** | **861** | **88** | **88** | **88** | **88** | **88** | **29** | **42,404** |
| **FUNDED BY** | | | | | | | | | | | | | | | | |
| Equity | 10,984 | 396 | 2,038 | 1,691 | 24 | 13 | 5 | 2 | 1 | – | – | – | – | – | – | 15,154 |
| Construction loan draws | – | – | – | 4,532 | 9,796 | 7,783 | 3,133 | 676 | 860 | 88 | 88 | 88 | 88 | 88 | 29 | 27,250 |
| **Total sources** | **10,984** | **396** | **2,038** | **6,222** | **9,820** | **7,795** | **3,138** | **678** | **861** | **88** | **88** | **88** | **88** | **88** | **29** | **42,404** |
| **CONSTRUCTION LOAN** | | | | | | | | | | | | | | | | |
| Beginning balance | – | – | – | – | 4,543 | 14,479 | 22,579 | 26,149 | 27,308 | 28,671 | 29,282 | 29,905 | 30,539 | 31,185 | 31,842 | |
| Draws | – | – | – | 4,532 | 9,796 | 7,783 | 3,133 | 676 | 860 | 88 | 88 | 88 | 88 | 88 | 29 | 27,250 |
| Interest capitalised | – | – | – | 11 | 141 | 317 | 436 | 482 | 503 | 523 | 534 | 546 | 557 | 569 | 192 | 4,814 |
| **Ending balance** | **–** | **–** | **–** | **4,543** | **14,479** | **22,579** | **26,149** | **27,308** | **28,671** | **29,282** | **29,905** | **30,539** | **31,185** | **31,842** | **32,064** | **32,064** |
| Loan to cost (incl. interest) | 0.00% | 0.00% | 0.00% | 23.12% | 48.90% | 59.85% | 63.32% | 64.31% | 65.42% | 65.90% | 66.37% | 66.84% | 67.30% | 67.75% | 67.91% | 67.91% |
| Cumulative cost | 10,984 | 11,380 | 13,418 | 19,640 | 29,461 | 37,256 | 40,394 | 41,072 | 41,933 | 42,022 | 42,110 | 42,198 | 42,286 | 42,374 | 42,404 | 42,404 |

### Cost to date and loan balance

Cumulative cost including capitalised interest (dark) and the construction loan balance (blue), by month from closing.




Figures in thousands of dollars. Each quarter's costs are funded by equity first, then the construction loan; interest is capitalised into the loan up to the commitment. Every figure is the funding engine's monthly schedule rolled up by quarter, through stabilisation.

## UNIT ECONOMICS, OPERATIONS AND LEASE-UP

### UNITS AND RENT

| | |
|---|---|
| Units | 120 |
| Average rent / unit / month | $3,310 |
| Annual potential rent | $4,766,400 |
| Rent per unit per year | $39,720 |
| Rent per GSF per month | $3.01 |

The unit mix by type is not entered for this deal; the model uses the units at an average rent. Enter it on Dev Lease-Up (by unit type) to show it here.

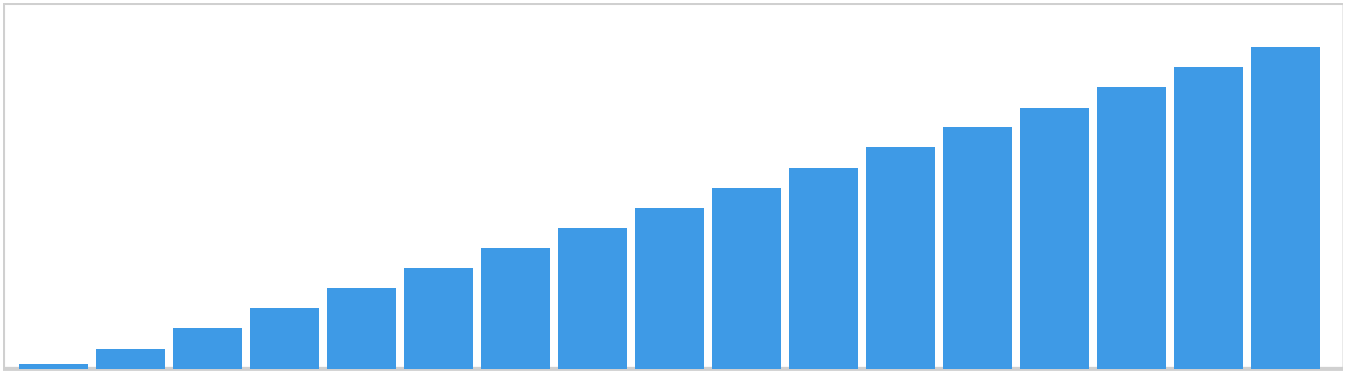
### STABILISED OPERATING STATEMENT (ANNUAL)

| | |
|---|---|
| Gross potential rent | $4,766,400 |
| Vacancy and credit loss | ($238,320) |
| Other income | $252,000 |
| **Effective gross income** | **$4,780,080** |
| Operating expenses (incl. management $191,203) | ($1,185,203) |
| **Net operating income (before reserves)** | **$3,594,877** |
| Replacement reserves | ($36,000) |
| **Cash flow after reserves** | **$3,558,877** |

Stabilised NOI is derived from the rent and expense inputs; it is never forced to a target. Expense ratio 24.80% of EGI.

### Lease-up schedule

Construction completes in month 26; leasing runs 17 months to stabilisation in month 43. Occupancy ramps in a straight line; fixed costs run in full from completion, so the early months lose money.



month 26 — month 42 · 94.00% occupied

| MONTHS | OCCUPANCY (END) | EGI | NOI AFTER RESERVES |
|---|---|---|---|
| Months 26–28 | 12.00% | $70,295 | ($190,017) |
| Months 29–31 | 29.00% | $281,181 | $12,434 |
| Months 32–34 | 47.00% | $492,067 | $214,884 |
| Months 35–37 | 65.00% | $702,953 | $417,335 |
| Months 38–40 | 82.00% | $913,839 | $619,785 |
| Months 41–42 | 94.00% | $726,385 | $525,663 |

Rent growth 3.00% and expense growth 3.00% a year apply after stabilisation. Concessions: none.

## FINANCING AND DEBT METRICS

### CONSTRUCTION FACILITY

| | |
|---|---|
| Fixed commitment (initial principal) | $27,300,000 |
| Facility ceiling (principal + capitalised interest) | $34,000,000 |
| Equity funds the first | $14,700,000 of cost |
| Interest rate / origination fee | 7.25% / 1.00% ($273,000) |
| Principal drawn | $27,250,000 |
| Capitalised interest (to the sale) | $5,595,718 |
| Interest paid by equity once the ceiling is full | $0 |
| Peak balance | $32,845,718 |
| Headroom under the ceiling | $1,154,282 |
| Unused-commitment fee (0.50% a year, to completion) | $180,868 |
| Repayment | Interest capitalised to the sale; $32,845,718 repaid from the sale proceeds |

### COVERAGE AND LEVERAGE

| | |
|---|---|
| Loan to cost (all-in) | 68.43% |
| Loan to value (stabilised value $72.08M) | 45.57% |
| Debt yield (NOI / loan) | 10.84% |
| Debt service coverage (stabilised NOI / annual debt service) | 1.49x |
| Interest coverage | 1.49x (interest only) |
| Annual debt service after stabilisation | $2,381,315 |

### REFINANCE ALTERNATIVE AT STABILISATION (MONTH 43)

| | |
|---|---|
| Permanent loan (65.00% LTV, no coverage test) | $46,850,000 |
| Rate / amortisation | 6.25% / 30 years |
| Repays the construction loan | $31,842,002 |
| Refinance fees | $468,500 |
| Net cash out to equity | $14,539,498 |
| Takeout shortfall equity must fund | $0 |
| Annual debt service | $3,461,562 |
| DSCR / debt yield / LTV | 1.04x / 7.69% / 65.00% |
| Value of the retained property (5.00% cap) | $72,077,280 |
| Equity left in the deal | $25,227,280 |

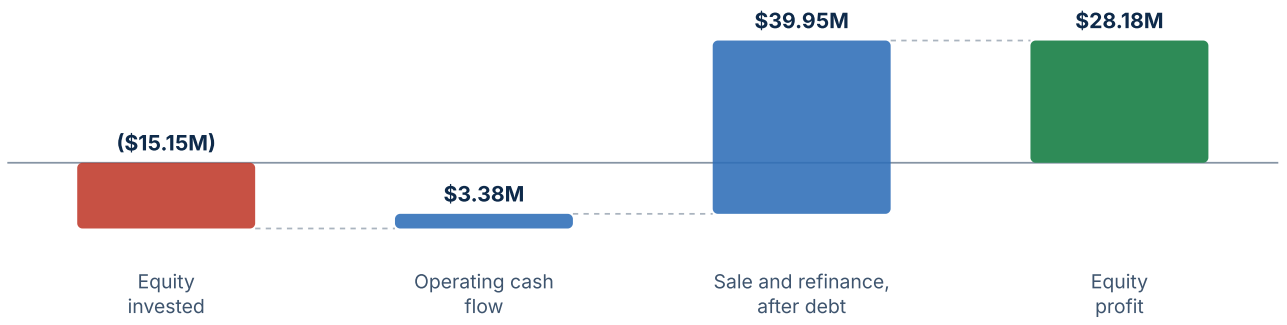
Sized at the model's permanent-loan LTV with the coverage test switched off, so the coverage shown is what that loan would run at. A lender testing 1.25x coverage would lend less. This is a stabilisation-date illustration: the model still values and sells the property at the end of the hold; it does not model holding it afterwards.

## PERFORMANCE AND SENSITIVITY

| ANNUAL CASH FLOW | YEAR 1 | YEAR 2 | YEAR 3 | YEAR 4 |
|---|---|---|---|---|
| Net operating income | – | – | 293,031 | 3,086,492 |
| Debt service | – | – | – | – |
| Asset management fee | – | – | – | – |
| Costs, takeout, sale and other | (15,108,707) | (44,033) | 207,238 | 39,746,210 |
| **Net cash flow to equity** | **(15,108,707)** | **(44,033)** | **500,269** | **42,832,703** |
| **Cumulative** | **(15,108,707)** | **(15,152,740)** | **(14,652,471)** | **28,180,232** |

### Where the profit comes from

Equity in, operating cash flow, then takeout and sale proceeds net of the loan.




### Return sensitivity

Levered IRR as exit cap and rent growth move.

| | 4.50% | 4.75% | 5.00% | 5.25% | 5.50% |
|---|---|---|---|---|---|
| 2.00% | 37.93% | 34.92% | 32.02% | 29.23% | 26.54% |
| 2.50% | 38.07% | 35.06% | 32.16% | 29.38% | 26.69% |
| 3.00% | 38.21% | 35.20% | **32.30%** | 29.52% | 26.83% |
| 3.50% | 38.35% | 35.33% | 32.44% | 29.66% | 26.98% |
| 4.00% | 38.49% | 35.47% | 32.58% | 29.81% | 27.12% |

Levered IRR. Columns: exit cap rate. Rows: annual rent growth. Green meets the 12.00% hurdle, red is furthest below it. Outlined cell is the base case.

## KEY ASSUMPTIONS

| | |
|---|---|
| Land | $7.00M |
| Hard costs | $24.95M ($207,917/unit) |
| Soft costs | $5.00M |
| Construction | 24 months |
| Lease-up | 17 months |
| Exit cap rate | 5.00% |
| Rent growth | 3.00% / yr |
| Hold | 4 years |

## WHAT BREAKS THE DEAL

Each break-even reruns the full model with one input moved until the levered IRR reaches the 12.00% hurdle (or equity just gets its money back). Red = below the hurdle. In the combined cases cost is the hard-cost overrun in %, rent the change in %, rate and cap the change in bps.

| | |
|---|---|
| Exit cap rate at which the levered IRR equals the 12.00% hurdle | 7.00% (+200 bps) |
| Exit cap rate at which equity gets its money back (1.00x) | 8.31% (+331 bps) |
| Break-even sale value (equity profit zero) | $45.32M against $72.25M base (37.00% cushion) |
| Average rent at which the levered IRR equals the hurdle | $2,580 (-22.00% vs base) |
| Average rent for 1.00x coverage of the stabilised debt service of $2,381,315 | $2,413 (-27.00% vs base) |
| Break-even occupancy for 1.00x coverage | 69.30% (base 95.00%) |
| Hard-cost overrun at which the levered IRR equals the hurdle | +56.00% |
| Land price at which the levered IRR equals the hurdle | $20,378,601 (191.00% vs base) |
| Construction delay the deal can absorb before the IRR falls below the hurdle | more than 36 months |

Delays move the sale by the same number of months. Cost overrun applies to hard cost including contingency. DSCR is stabilised NOI over annual debt service after stabilisation.

## COMBINED DOWNSIDE CASES

| CASE | SALE VALUE | PROFIT | UNLEV. IRR | LEV. IRR | LP IRR | GP IRR | LP X | EXTRA EQUITY | DSCR |
|---|---|---|---|---|---|---|---|---|---|
| Base case | $72.25M | $28.18M | 22.30% | 32.30% | 26.30% | 67.00% | 2.39x | $0.00M | 1.49x |
| 1. Cost +10, rent −5, cap +50 | $61.67M | $14.68M | 14.00% | 18.80% | 16.00% | 38.00% | 1.68x | $2.63M | 1.39x |
| 2. Cost +15, rate +200, delay 6 mo | $72.25M | $21.29M | 16.90% | 21.40% | 18.20% | 42.00% | 1.86x | $4.97M | 1.13x |
| 3. Rent −10, lease-up +6 mo, cap +100 | $52.85M | $7.99M | 9.60% | 10.70% | 9.90% | 17.00% | 1.48x | $0.00M | 1.27x |
| 4. Cost +20, rate +300, rent −10, cap +100 | $52.85M | $0.27M | 6.40% | 0.40% | 0.40% | -0.00% | 1.01x | $6.51M | 0.90x |

## SINGLE-VARIABLE SENSITIVITIES

### EXIT CAPITALISATION RATE

| CASE | SALE VALUE | PROFIT | UNLEV. IRR | LEV. IRR | LP IRR | GP IRR | LP X | EXTRA EQUITY | DSCR |
|---|---|---|---|---|---|---|---|---|---|
| -50 bps (4.50%) | $80.27M | $36.05M | 26.30% | 38.20% | 30.80% | 79.00% | 2.74x | $0.00M | 1.49x |
| -25 bps (4.75%) | $76.05M | $31.91M | 24.30% | 35.20% | 28.50% | 73.00% | 2.56x | $0.00M | 1.49x |
| Base (5.00%) | $72.25M | $28.18M | 22.30% | 32.30% | 26.30% | 67.00% | 2.39x | $0.00M | 1.49x |
| +25 bps (5.25%) | $68.80M | $24.81M | 20.50% | 29.50% | 24.10% | 62.00% | 2.24x | $0.00M | 1.49x |
| +50 bps (5.50%) | $65.68M | $21.74M | 18.80% | 26.80% | 22.10% | 56.00% | 2.11x | $0.00M | 1.49x |
| +75 bps (5.75%) | $62.82M | $18.95M | 17.20% | 24.20% | 20.20% | 50.00% | 1.99x | $0.00M | 1.49x |
| +100 bps (6.00%) | $60.20M | $16.38M | 15.70% | 21.70% | 18.40% | 44.00% | 1.87x | $0.00M | 1.49x |

### AVERAGE MONTHLY RENT

| CASE | SALE VALUE | PROFIT | UNLEV. IRR | LEV. IRR | LP IRR | GP IRR | LP X | EXTRA EQUITY | DSCR |
|---|---|---|---|---|---|---|---|---|---|
| -15.00% ($2,814) | $59.01M | $14.45M | 14.50% | 19.60% | 16.60% | 40.00% | 1.78x | $0.00M | 1.22x |
| -10.00% ($2,979) | $63.42M | $19.03M | 17.20% | 24.20% | 20.20% | 50.00% | 1.99x | $0.00M | 1.31x |
| -5.00% ($3,145) | $67.83M | $23.60M | 19.80% | 28.40% | 23.30% | 59.00% | 2.19x | $0.00M | 1.40x |
| Base ($3,310) | $72.25M | $28.18M | 22.30% | 32.30% | 26.30% | 67.00% | 2.39x | $0.00M | 1.49x |
| +5.00% ($3,476) | $76.66M | $32.76M | 24.70% | 35.90% | 29.00% | 75.00% | 2.59x | $0.00M | 1.59x |
| +10.00% ($3,641) | $81.07M | $37.34M | 27.00% | 39.20% | 31.60% | 81.00% | 2.79x | $0.00M | 1.68x |

### CONSTRUCTION COST (HARD, INCL. CONTINGENCY)

| CASE | SALE VALUE | PROFIT | UNLEV. IRR | LEV. IRR | LP IRR | GP IRR | LP X | EXTRA EQUITY | DSCR |
|---|---|---|---|---|---|---|---|---|---|
| Base budget | $72.25M | $28.18M | 22.30% | 32.30% | 26.30% | 67.00% | 2.39x | $0.00M | 1.49x |
| +5.00% | $72.25M | $26.70M | 21.10% | 30.50% | 24.90% | 64.00% | 2.23x | $1.29M | 1.49x |
| +10.00% | $72.25M | $25.30M | 19.90% | 28.50% | 23.40% | 60.00% | 2.09x | $2.63M | 1.48x |
| +15.00% | $72.25M | $23.91M | 18.80% | 26.50% | 21.90% | 56.00% | 1.97x | $3.97M | 1.48x |
| +20.00% | $72.25M | $22.53M | 17.70% | 24.60% | 20.40% | 52.00% | 1.87x | $5.31M | 1.48x |

### CONSTRUCTION LOAN RATE

| CASE | SALE VALUE | PROFIT | UNLEV. IRR | LEV. IRR | LP IRR | GP IRR | LP X | EXTRA EQUITY | DSCR |
|---|---|---|---|---|---|---|---|---|---|
| Base (7.25%) | $72.25M | $28.18M | 22.30% | 32.30% | 26.30% | 67.00% | 2.39x | $0.00M | 1.49x |
| +100 bps | $72.25M | $27.32M | 22.30% | 31.60% | 25.70% | 66.00% | 2.36x | $0.00M | 1.28x |
| +200 bps | $72.25M | $26.45M | 22.30% | 30.90% | 25.20% | 65.00% | 2.32x | $0.00M | 1.13x |
| +300 bps | $72.25M | $25.57M | 22.30% | 30.10% | 24.60% | 63.00% | 2.22x | $0.70M | 1.02x |

### CONSTRUCTION DELAY (EXIT MOVES WITH IT)

| CASE | SALE VALUE | PROFIT | UNLEV. IRR | LEV. IRR | LP IRR | GP IRR | LP X | EXTRA EQUITY | DSCR |
|---|---|---|---|---|---|---|---|---|---|
| Base schedule | $72.25M | $28.18M | 22.30% | 32.30% | 26.30% | 67.00% | 2.39x | $0.00M | 1.49x |
| 3 months | $72.25M | $27.88M | 21.10% | 29.90% | 24.50% | 61.00% | 2.39x | $0.00M | 1.48x |
| 6 months | $72.25M | $27.58M | 20.10% | 27.80% | 23.00% | 56.00% | 2.39x | $0.00M | 1.47x |
| 12 months | $72.25M | $26.97M | 18.20% | 24.30% | 20.50% | 47.00% | 2.39x | $0.00M | 1.44x |

### LEASE-UP DELAY (EXIT MOVES WITH IT)

| CASE | SALE VALUE | PROFIT | UNLEV. IRR | LEV. IRR | LP IRR | GP IRR | LP X | EXTRA EQUITY | DSCR |
|---|---|---|---|---|---|---|---|---|---|
| Base schedule | $72.25M | $28.18M | 22.30% | 32.30% | 26.30% | 67.00% | 2.39x | $0.00M | 1.49x |
| 3 months | $72.25M | $27.90M | 20.70% | 29.90% | 24.50% | 61.00% | 2.39x | $0.00M | 1.47x |
| 6 months | $72.25M | $27.61M | 19.30% | 27.80% | 23.00% | 56.00% | 2.39x | $0.00M | 1.44x |
| 12 months | $72.25M | $27.02M | 17.00% | 24.30% | 20.50% | 47.00% | 2.35x | $0.52M | 1.44x |

## DISTRIBUTION WATERFALL

| EQUITY | % | AMOUNT |
|---|---|---|
| LP | 90.00% | $13,638,481 |
| GP (sponsor) | 10.00% | $1,515,387 |
| **Total equity** | **100.00%** | **$15,153,868** |

| PROMOTE | HURDLE | LP | GP |
|---|---|---|---|
| Tier 1 | 8.00% pref | 90.00% | 10.00% |
| Catch-up | 20.00% of profit | 0.00% | 100.00% |
| Tier 2 | 12.00% IRR | 80.00% | 20.00% |
| Tier 3 | 18.00% IRR | 70.00% | 30.00% |
| Tier 4 | above | 60.00% | 40.00% |

| RESULTS | LP | GP |
|---|---|---|
| Contributed | $13,638,481 | $1,515,387 |
| Distributed | $32,634,460 | $10,699,640 |
| Profit | $18,995,979 | $9,184,253 |
| Return of capital | $13,189,745 | $1,465,527 |
| Preferred return | $4,487,358 | $498,595 |
| Excess cash flow | $14,957,357 | $2,369,287 |
| Promote | — | $6,366,230 |
| IRR | 26.25% | 67.46% |
| Equity multiple | 2.39x | 7.06x |
| **GP promote** | | **$6,366,230** |

| WATERFALL | CLOSE | YEAR 1 | YEAR 2 | YEAR 3 | YEAR 4 |
|---|---|---|---|---|---|
| **Cash flow available for distribution** | **($9,961,375)** | **($5,147,332)** | **($44,033)** | **$500,269** | **$42,832,703** |
| TIER 1 · RETURN OF CAPITAL + 8.00% PREFERRED RETURN | | | | | |
| Beginning balance | – | $8,965,238 | $14,450,742 | $15,651,874 | $16,448,719 |
| Preferred return accrued | – | $883,728 | $1,158,469 | $1,246,920 | $1,226,109 |
| Contributions | $8,965,238 | $4,632,599 | $39,630 | $1,015 | – |
| Distributions applied | – | ($30,823) | $3,034 | ($451,090) | ($17,674,828) |
| **Ending balance** | **$8,965,238** | **$14,450,742** | **$15,651,874** | **$16,448,719** | **–** |
| Distributed to LP (capital pro rata, then the preferred return) | – | – | – | $451,257 | $17,674,581 |
| Distributed to GP (capital pro rata) | – | – | – | $50,140 | $1,465,247 |
| GP CATCH-UP · TO 20.00% OF PROFIT | | | | | |
| Distributed to GP (50.00%) | – | – | – | – | $2,243,679 |
| Distributed to LP (50.00%) | – | – | – | – | $2,243,679 |
| TIER 2 · TO 12.00% IRR | | | | | |
| Beginning balance | – | $8,965,238 | $14,875,384 | $16,708,447 | $18,255,729 |
| Return accrued at 12.00% IRR | – | $1,322,908 | $1,788,649 | $1,997,094 | $2,056,801 |
| Contributions | $8,965,238 | $4,632,599 | $39,630 | $1,015 | – |
| Distributions applied | – | ($45,361) | $4,785 | ($450,827) | ($20,312,530) |
| **Ending balance** | **$8,965,238** | **$14,875,384** | **$16,708,447** | **$18,255,729** | **–** |
| Distributed to LP (80.00%) | – | – | – | – | $394,111 |
| Distributed to GP (20.00%) | – | – | – | – | $98,528 |
| TIER 3 · TO 18.00% IRR | | | | | |
| Beginning balance | – | $8,965,238 | $15,510,274 | $18,354,844 | $21,197,462 |
| Return accrued at 18.00% IRR | – | $1,978,619 | $2,797,236 | $3,291,767 | $3,616,313 |
| Contributions | $8,965,238 | $4,632,599 | $39,630 | $1,015 | – |
| Distributions applied | – | ($66,182) | $7,705 | ($450,164) | ($24,813,775) |
| **Ending balance** | **$8,965,238** | **$15,510,274** | **$18,354,844** | **$21,197,462** | **–** |
| Distributed to LP (70.00%) | – | – | – | – | $4,501,731 |
| Distributed to GP (30.00%) | – | – | – | – | $1,929,313 |
| TIER 4 · ABOVE 18.00% IRR | | | | | |
| Distributed to LP (60.00%) | – | – | – | – | $7,369,099 |
| Distributed to GP (40.00%) | – | – | – | – | $4,912,733 |
| PARTNER CASH FLOWS | | | | | |
| **LP cash flow** | **($8,965,238)** | **($4,632,599)** | **($39,630)** | **$450,242** | **$32,183,202** |
| **GP cash flow** | **($996,138)** | **($514,733)** | **($4,403)** | **$50,027** | **$10,649,500** |
| GP promote (above its 10.00% pro rata share) | – | – | – | – | $6,366,230 |

Hurdle accounts accrue monthly at each hurdle rate on the LP's own contributions and are reduced only by what the LP receives, so a tier opens once the LP has reached that return. Close is the equity contributed at closing. Every figure is the engine's monthly waterfall rolled up by year.

## CREDIT DECISION

| CREDIT GATE | DEAL | POLICY | RESULT |
|---|---|---|---|
| Gross levered IRR (property) (hard) | 32.30% | >= 12.00% | PASS |
| Net LP IRR (after promote) (hard) | 26.25% | >= 12.00% | PASS |
| Net LP equity multiple | 2.39x | >= 2.00x | PASS |
| High or critical risks | 0 | <= 2 | PASS |
| Development spread (bps, development only) (hard) | 250.81 | >= 150 | PASS |

**Decision: APPROVE**

APPROVE — NO MATERIAL EXCEPTIONS

> Model integrity: 0 failed, 0 warnings, 27 passed, 0 not applicable.

**Next step:** Proceed to close on the selected structure; satisfy the conditions precedent.

## DELAY AND EXIT STRESS

| STRESS TEST | LEVERED IRR | MULTIPLE | PROFIT | VS HURDLE |
|---|---|---|---|---|
| **Base case** | **32.30%** | **2.86x** | **$28.18M** | MEETS |
| Construction 6 months longer | 30.40% | 2.70x | $25.94M | MEETS |
| Lease-up 6 months slower | 30.34% | 2.71x | $26.00M | MEETS |
| Exit cap 50 bps higher | 26.83% | 2.43x | $21.74M | MEETS |
| Rent growth 1 point lower | 32.02% | 2.84x | $27.83M | MEETS |
| Delays and exit cap together | 17.46% | 1.82x | $12.58M | MEETS |

Each row reruns the full model with the change shown. Cost-overrun stress is not shown: with the budget set from a source total, hard-cost changes are absorbed in the calibration.

## ABOUT THIS SUMMARY

Prepared November 4, 2026 from the Punchlist Capital underwriting model (beta). Every figure is read from the live model for the Base case; the sensitivity grid and stress tests rerun the model. Development returns depend heavily on cost, schedule and exit assumptions. This summary is an analytical aid, not an offer or a fairness opinion. Check it against your own model before relying on it.

## IMPACT TO PORTFOLIO

**First deal in the portfolio: N/A**
No other underwritten assets are saved in BK Capital, so there is no portfolio to compare against. This deal would be the first asset; the figures below are the deal on its own.

| This deal on its own | Development · Multifamily |
|---|---|
| Equity invested / total cost | $15,153,868 / $39,950,000 |
| Levered profit | $28,180,232 |
| Levered IRR / multiple | 32.30% / 2.86x |

Once other deals are saved to the portfolio, this page shows the current assets and what adding this one changes: equity and leverage, the equity-weighted and combined (dated cash flow) IRR, the multiple, concentration in the largest asset, and the mix by property type and by development versus acquisition.

## MODEL INTEGRITY AND LIMITS

Every line is recomputed independently of the engine (0 failed, 0 warnings, 27 passed, 0 not applicable). A failed check holds the credit gate; a warning caps it at conditional.

| AREA | CHECK | RESULT |
|---|---|---|
| Budget | Hard and soft cost totals equal the sum of their lines | PASS |
| Budget | Cost before financing equals land + closing + acquisition fee + pre-development + hard + soft + lease-up deficit + contingency forecast usage | PASS |
| Sources & Uses | Total sources equal total uses | PASS |
| Debt | Every month's cost is paid by equity or a loan draw (debt draws follow costs) | PASS |
| Debt | Capitalised interest equals the opening balance x rate / 12 each month, and the balance rolls forward | PASS |
| Debt | The loan balance (principal plus capitalised interest) never exceeds the facility ceiling | PASS |
| Debt | Principal drawn never exceeds the fixed commitment | PASS |
| Debt | Equity funds the first $14,700,000 of cost before the loan is drawn | PASS |
| Debt | The unused-commitment fee equals the rate x the undrawn commitment, month by month | PASS |
| Debt | The origination fee equals the fee rate x the commitment and is paid by equity | PASS |
| Debt | The debt repaid at sale equals the outstanding balance | PASS |
| Exit | Net sale proceeds equal the gross sale value less selling costs | PASS |
| Equity | The equity charged in the returns cash flow equals the equity in the funding ledger | PASS |
| Budget | Contingency drawn equals the register's forecast usage, and the final variance equals original less forecast | PASS |
| Reserves | Reserves funded equal the register; what is used plus what is released at sale equals what was funded | PASS |
| Equity | LP + GP contributions equal total contributions: the equity ledger plus any operating shortfall the partners fund | PASS |
| Returns | Unlevered IRR and multiple are calculated | PASS |
| Returns | Levered IRR equals an independent XIRR of the dated cash flows | PASS |
| Returns | Equity multiple equals total distributions / total contributions | PASS |
| Waterfall | Tier 1 · preferred return | PASS |
| Waterfall | Tier 2 hurdle | PASS |
| Waterfall | Tier 3 hurdle | PASS |
| Waterfall | Tiers are paid in order | PASS |
| Waterfall | Every dollar is distributed once | PASS |
| Waterfall | Promote is the GP's excess over its pro-rata share | PASS |
| Waterfall | Distribution categories add to each partner's distributions | PASS |

**Credit gate: APPROVE**
APPROVE — NO MATERIAL EXCEPTIONS

### WHAT THIS MODEL CANNOT YET DO

- Costs are entered as 13 hard-cost trades and 16 soft-cost lines; lines in a brief are merged to fit, and each cannot be escalated or reforecast on its own.
- A GP catch-up rate below 100.00% and an LP-only preferred return apply on the IRR-hurdle basis with hurdles tested on LP flows; under other bases the model uses the share-of-profit catch-up and a shared preferred return, and the Model Checks page warns when these inputs are set but not applied.
- A refinance is illustrated at stabilisation; the property is still sold at the end of the hold.
- Source citations, extraction confidence and broker-versus-model discrepancy reporting are not part of this summary.